

Court No. - 40

Case :- WRIT - C No. - 13315 of 2025

Petitioner :- M/S Shri Ganga Paper Mills Pvt. Ltd, And Another
Respondent :- Managing Director, Pahchimanchal Vidyut Vitran
Nigam Limited And 2 Others

Counsel for Petitioner :- Mayank Kumar Agrawal

Counsel for Respondent :- Ajay Singh,Pranjal Mehrotra

Hon'ble Shekhar B. Saraf,J.

Hon'ble Dr. Yogendra Kumar Srivastava,J.

1. Heard Sri Mayank Kumar Agrawal, learned counsel for the petitioners and Sri Ishan Mehta holding brief of Sri Pranjal Mehrotra, learned counsel for respondent nos.1 and 2.

2. This is a writ petition under Article 226 of the Constitution of India wherein the writ petitioners have prayed for the following substantial reliefs:

"i. to issue a writ, order or direction in the nature of certiorari quashing/setting aside the impugned demand order dated 11.02.2025 (letter No.899) (Annexure No.1 to this writ petition) passed by the respondent No.2;

ii. to issue a writ, order or direction in the nature of mandamus declaring Note No.10 Chapter-III (Security) of Cost Data Book/Rate Book dated 08.07.2019 framed by the respondent No.3 for recovery of security and other charges to the extent it provides for penalty of Rs.500/- per Lakh per day of Bank Guarantee, as illegal and ultra vires Section 47 of the Electricity Act, 2003 read with Clause 4.20(f) of Electricity Supply Code, 2005."

3. We are of the view that this matter requires hearing upon exchange of affidavits.

4. Accordingly, let counter affidavits be filed by the respondent-authorities within a period of six weeks. Rejoinder affidavit, if any, may be provided within two weeks thereafter.

5. Learned counsel for the petitioners has propounded the proposition that Section 47 of the Electricity Act, 2003 does not provide for any penalty in case of delay in renewal of the bank

guarantee. He submits that if the bank guarantee/security is not provided or is insufficient, the electricity distribution company has a right under the statute to disconnect the power supply of the petitioner. However, no penal provision is provided for charging penalty for delay in renewal of the bank guarantee. He further submits that the petitioners were very good pay masters and were in fact making payments of their bills within time and also taking benefit of timely payment discount. He further submits that no notice was issued to them with regard to renewal of the bank guarantee under Section 47(2) of the Electricity Act, 2003.

6. Relying on the Supreme Court judgment in **Kerala State Electricity Board and others Vs. Thomas Joseph @ Thomas M.J. and others**, reported in **2022 LiveLaw (SC) 1034**, to buttress his arguments that unless the parent act provides for a particular power to be delegated, the authority cannot exercise powers in excess of that provided in the primary legislation.

7. We are *prima facie* satisfied with the arguments raised on behalf of the petitioners and accordingly grant stay on the penalty imposed upon the petitioners till the disposal of the writ petition.

8. We make it clear that the petitioners shall continue to pay their bills on time and also maintain the security and bank guarantee with the authorities as per law. Any default on the same shall allow the authorities to disconnect the line of the petitioners.

9. List this matter on 08.07.2025.

Order Date :- 7.5.2025
Shahroz

(Dr. Y.K. Srivastava,J.) (Shekhar B. Saraf,J.)